CSIS JAPAN CHAIR

Japan Daily Brief

Saturday, October 24, 2026

1,767 words · 7 min read

RE: Imperial House Law takes effect · BOJ 2% inflation threshold · PHP cyber crisis · Keen Sword 27 · Takaichi year-one reviews

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
62,693.16	156.81	$111.70	1.00%
▼ -3.43%	▼ -0.63%	▲ +1.96%	

TOP STORIES

POLITICS-DIET

Japan's revised law to maintain imperial family size takes effect

The amended Imperial House Law entered into force Saturday, permitting adoption of male-heir sons into the imperial family to address its declining size while explicitly retaining male-only succession. The revision was described as 'unpopular' by the Washington Post and Mainichi, with the question of whether a woman could become empress left unresolved for future deliberation.

MAINICHI

ALLIANCE

Stronger Japan alliance needed for deterrence: Senior US official

A senior US official stated that a stronger US-Japan alliance is needed for deterrence in the Indo-Pacific, according to Nikkei Asia. The statement came as Japan and the US conducted Airfield Damage Repair training under Keen Sword 27, and the US Pacific Command deputy commander visited Japan to highlight combined readiness.

NIKKEI ASIA

DEFENSE

Japan weighs rebranding energy, AI as defense spending under Trump pressure

Japan is considering rebranding certain energy and AI expenditures as defense-related spending as the Trump administration presses Tokyo on its defense-budget commitments, per Nikkei Asia. The approach would allow Japan to present a higher defense-spending figure without equivalent new outlays, a move with direct implications for alliance burden-sharing negotiations.

NIKKEI ASIA

DPRK

South Korean media: Kim Jong Un arrives in China — first confirmed cross-border movement in years

South Korean media reported Kim Jong Un arrived in the Chinese border city of Dandong, per NHK World. The visit, if confirmed, would be Kim's first publicly reported trip into China and could signal diplomatic consultations amid his sustained military-buildup campaign.

NHK

TECHNOLOGY

PHP security flaws prompt Japan to take websites down while US keeps them up

Japan took bank, business, and ministry websites offline while patching critical PHP programming-language vulnerabilities — a step the US government did not replicate — as the Japanese government issued rare public warnings and simulated cyberattack drills. Internet services provider GMO Internet Group formally requested the government invoke its 'active cyber defense' framework, citing the spate of app-vulnerability-linked cyberattacks on Japanese firms.

NIKKEI ASIA

ALLIANCE

Japan and US conduct Airfield Damage Repair training at Keen Sword 27

US Forces Japan reported that Japan and US forces completed Airfield Damage Repair training as part of the Keen Sword 27 exercise, a scenario designed to sustain operational runways under combat damage. The US Pacific Command deputy commander separately visited Japan to underscore combined readiness.

USFJ.MIL

STAT OF THE DAY

2.1%

Japan core CPI September — BOJ's 2% target formally within reach

September core inflation at 2.1% is cited as the data point that will lead the BOJ to formally confirm its price-stability target has been reached at the upcoming policy meeting, ending a 14-year easing era in declaratory terms even as a rate hike is held off.

Bank of Japan Set to Formally Confirm Core Inflation Has Reached 2%, Marking Policy Shift After 14 Years; Rate Hike to Be Held Off — BigGo Finance

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SATURDAY, OCTOBER 24, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi directed METI Minister Akazawa to review gasoline subsidies and is confirmed active via Japan Today and Japan Times reporting on Oct. 24.

官邸 · PRIME MINISTER'S OFFICE / KANTEI · *Prime Minister Sanae Takaichi*

Takaichi directs review of gasoline subsidies as costs mount

PM **Sanae Takaichi** has instructed METI Minister **Ryosei Akazawa** to review and scale back gasoline subsidies, which currently cap average retail regular gasoline at approximately ¥170 per liter by paying wholesalers. The review responds to mounting fiscal costs and is expected to lead to a reduction from December.

→ The Japan Times ↗

日本銀行 · BANK OF JAPAN · *BOJ (institution)*

BOJ stress test: Japanese banks prepared to weather AI market crash and global rate spike

A BOJ stress test found Japanese banks capable of absorbing shocks from an AI-sector market crash and a sharp global interest-rate spike. The test results come ahead of next week's policy meeting, at which the BOJ is expected to formally declare core inflation has reached the 2% target while holding the policy rate.

→ Nikkei Asia ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY · *Economic and Fiscal Policy Minister Minoru Kiuchi*

Minister Kiuchi declines to commit on deflation-exit declaration, calls for 'careful judgment'

Economic and Fiscal Policy Minister **Minoru Kiuchi** said a formal declaration that Japan has exited deflation requires 'careful judgment' and declined to commit to revising the BOJ-government joint statement, laying bare the gap between the government and the central bank ahead of next week's Monetary Policy Meeting.

→ finance.biggo.com ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY

Japan energy white paper calls for stronger supply structure; Mideast crisis highlights vulnerabilities

The fiscal 2025 energy white paper emphasized strengthening Japan's energy supply-and-demand structure to prepare for future emergencies, with the Mideast crisis cited as having exposed import vulnerabilities. Brent crude at $111.70 as of Oct. 23 underscores the fiscal pressure behind the simultaneous gasoline-subsidy review.

→ The Japan Times ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES / LOWER HOUSE

LDP-led coalition weighs Lower House seat reduction of 31; DPP leans toward accepting; opposition parties resist

The Democratic Party for the People (DPP) is moving toward accepting a proposed Lower House apportionment reform that would cut 31 seats, while opposition parties including Sanseito criticized the plan as 'party-motivated gerrymandering.' The Asahi Shimbun reports the proposal is driving coalition and opposition fault lines ahead of any eventual Diet vote.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE

ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026	**63%**	**33.9%**

Discourse: Multiple polls show Takaichi Cabinet approval clustered in the 42-51% band heading into year two, with women's support specifically cited as lower than personal favorability ratings would predict; Asahi analysis links this to a gap between Takaichi's symbolic status as Japan's first female PM and her policy record on gender issues.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

FINANCE · THE JAPAN TIMES · SENSHU IKEDA BANK, SHIGA BANK

Senshu Ikeda and Shiga Bank in merger talks — announcement expected as soon as next week

Senshu Ikeda Bank and Shiga Bank are in talks to consolidate operations, with an announcement expected as early as next week. The deal would represent the latest in a series of regional-bank consolidations driven by Japan's shrinking regional deposit base and persistent low-margin environment.

MACRO · NIKKEI ASIA

Yen on track for weekly gain as AI selloff and France unrest drive safe-haven flows

The yen is set for a weekly gain as global AI-stock sell-offs and civil unrest in France pushed investors toward safe-haven assets; the dollar-yen briefly touched the lower-156 range on Oct. 24. Japanese 10-year bond yields also fell as AI jitters spurred haven demand for JGBs.

FINANCE · NIKKEI ASIA

Central Tokyo existing condominium prices fall for fifth consecutive month

Prices for existing condominiums in central Tokyo declined for the *fifth straight month*, per Nikkei Asia. The run of declines follows an extended post-pandemic surge and comes amid rising mortgage rates tied to BOJ normalization expectations.

REGIONAL PRESSURE WATCH

Normal — 18 items

CHINA

No new China Coast Guard or PLA activity near the Senkakus is reported in today's Tier 1 or Tier 4 data. China's sustained rare-earth export-control pressure on Japan — framed by Beijing as a response to Japanese 'remilitarization' — continues as the active economic-coercion vector from the prior week's tracker, with no new escalation signal today.

NORTH KOREA

South Korean media reported Kim Jong Un arrived in the Chinese border city of Dandong, per NHK World — a potentially significant diplomatic movement if confirmed. North Korea's Kim separately issued calls for a 'military revolution' to strengthen army units, per GMA Network, maintaining the rhetorical escalation posture tracked through October.

RUSSIA

Russia's FSB detention of Hokkaido Shimbun reporter Yuki Imai on espionage charges continues; the Panay News item confirms the arrest remains live. Nikkei Asia analysis concludes Japan-Russia ties are 'hanging on by a thread' with energy ties as the sole remaining binding element.

Senkaku / ECS: No new Senkaku / East China Sea CCG patrol or territorial-water intrusion data reported in today's sources; the baseline of sustained near-daily Chinese presence carries forward from the prior week.

Bottom line: The most consequential regional signal today is the unconfirmed report of Kim Jong Un entering China — if verified, his first cross-border movement in years — coinciding with Russia's continued detention of a Japanese journalist without consular access. No kinetic escalation toward Japan reported.

INDO-PACIFIC PARTNERS

PACIFIC ISLANDS · MAINICHI

PM Takaichi and Micronesian President Simina agree on Free and Open Indo-Pacific cooperation ahead of Pacific summit

PM Takaichi and Micronesian President **Wesley Simina** agreed Friday to work jointly toward the success of an upcoming Pacific Islands summit, affirming shared commitment to a Free and Open Indo-Pacific framework.

KOREA-JAPAN · YONHAP

South Korean President Lee calls for closer ROK-Japan supply chain cooperation at meeting with Japanese business delegation

South Korean President Lee called for deeper ROK-Japan supply chain cooperation at a meeting with a Japanese business delegation, framing closer economic ties as a strategic priority.

QUAD · NIKKEI ASIA

Japan defense academy chief calls for three 'red lines' against China in Indo-Pacific security architecture

The chief of Japan's National Defense Academy argued that the Indo-Pacific security architecture requires three explicit red lines against China to establish credible deterrence, per Nikkei Asia.

INDIA · NIKKEI ASIA

JFE Steel-JSW Steel India blast furnace deal deepens Japan-India industrial partnership

JFE Steel's agreement to build a large blast furnace in India with JSW Steel advances Japan's industrial engagement with India as both countries diversify supply chains away from China-dependent sources.

UPCOMING

Oct 26

Typhoon Champi forecast to approach Kyushu

Typhoon Champi (the 30th typhoon of 2026) is forecast to approach the Kyushu region Monday morning before becoming an extratropical cyclone by Tuesday morning. Western Japan is on heavy-rain alert from an associated front.

Oct 27

Japan-Bangladesh PM-level summit in Tokyo

Bangladeshi Prime Minister Tarique is scheduled to meet PM Takaichi in Tokyo on October 27. Multiple MoUs are expected to be signed, and Japan eyes fresh economic-cooperation momentum with Dhaka.

Oct 27

BOJ Monetary Policy Meeting — next week

The Bank of Japan is expected to formally confirm at its upcoming policy meeting that core inflation has reached the 2% target for the first time in 14 years, while holding the policy rate steady. The government-BOJ gap on a deflation-exit declaration is the key watch.

Nov

Pacific Islands Summit — Japan-Micronesia cooperation agreed as preparatory step

PM Takaichi and Micronesian President Wesley Simina agreed on October 24 to work together toward the success of an upcoming Pacific summit; date of the summit not specified in today's articles.

Nov

Keen Sword 27 exercise series continues — Airfield Damage Repair component completed

US Forces Japan reported Japan-US Airfield Damage Repair training at Keen Sword 27; the broader exercise series continues in the coming weeks as the largest annual US-Japan bilateral exercise.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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